








Blockchain Applications

Lecture 1: Blockchains and Crypto Markets as Data



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23 November 2026

Today's Question and Route

- **Question**: what can a manager learn from the data that blockchain applications produce?
  - every transaction, fee and transfer is public, time-stamped and free to download
  - no other industry publishes its full transaction record
- **Route**
  - what a blockchain records, and what it does not
  - the market in numbers: coins, stablecoins, decentralised finance (DeFi), exchange-traded funds (ETFs)
  - on-chain activity: transactions, fees, security, value
  - where the data come from, and how to check them before use
  - tools for growth: log scales and growth rates
- Next lecture: the statistical behaviour of crypto prices

Learning Outcomes

- Explain what a blockchain records and why the record is public
- Name the main data sources (explorers, aggregators, dashboards) and what each measures
- Describe the size and concentration of the crypto market with market value, shares and the Herfindahl–Hirschman index (HHI)
- Read on-chain activity charts: transactions, fees, hash rate, market value
- Run a data-quality check on a crypto data set before any analysis
- Compute and interpret growth rates on a log scale

Abbreviations

AIC Akaike information criterion
AR(1) first-order autoregressive (process)
bn billion
BTC bitcoin, the coin of the Bitcoin network
CAGR compound annual growth rate
CBECI Cambridge Bitcoin Electricity Consumption Index
CC0 Creative Commons Zero (public-domain dedication)
CC BY Creative Commons Attribution licence
CRIX CRypto IndeX (Trimborn & Härdle (2018))
DeFi decentralised finance
EH/s exahashes (10^{18} hashes) per second
EODHD EOD (end-of-day) Historical Data, data vendor
ETF exchange-traded fund
ETH Ether, the coin of the Ethereum network
FABIZ Faculty of Business Administration in Foreign Languages, ASE
HHI Herfindahl–Hirschman index
IBIT iShares Bitcoin Trust, a spot Bitcoin ETF
IDA Institute Digital Assets
iid independent and identically distributed
MAD median absolute deviation
MBB Master Blockchain for Business
MFM Modelling Financial Markets (master course; Quantlet prefix)
NFT non-fungible token
S&P 500 Standard & Poor's 500 US stock index
SE standard error
SEC US Securities and Exchange Commission
SQL Structured Query Language
TVL total value locked
US United States
USD US dollar
USDC USD Coin, a stablecoin
USDT Tether, a stablecoin
UTC Coordinated Universal Time
XRP the coin of the XRP Ledger

Reading and Tools

- Core reading: Härdle, Harvey & Reule (2020), *Understanding cryptocurrencies*
- Video units on Quantinar (course Blockchain Analytics)
  - Cryptos, NFTs, Digital Assets
  - Blockchain Technology – An Introduction
  - Understanding Cryptocurrencies
- Data used today
  - daily on-chain series of Bitcoin and Ethereum, November 2014 – October 2025 (ETH Chronicles project, IDA)
  - market value, stablecoins, DeFi and ETFs up to 18 September 2026 (DefiLlama, EODHD)
- Code: Python Quantlets, linked at the bottom right of each chart slide

The Blockchain: a Public Ledger

- **Ledger**: the list of all transactions; whoever holds the ledger knows who owns what
  - banks keep private ledgers; Bitcoin keeps one public ledger, copied on thousands of computers (**nodes**)
- **Block**: a batch of transactions; each block carries the fingerprint (**hash**) of the previous one
  - changing an old transaction means rewriting every later block: the record is **tamper-evident**
- **Consensus**: the rule that decides who adds the next block
  - proof of work (Bitcoin): miners spend electricity to win the right
  - proof of stake (Ethereum since 15 September 2022): validators lock coins as a deposit; energy use fell by more than 99.9% ethereum.org: The Merge
- For us: a blockchain is a database that anyone can read, but no single party can edit

Proof of Work in Numbers

- A block is valid if the hash of its header with a number (**nonce**) is below a target T:

$$H(\text{header} \,\|\, \text{nonce}) < T, \qquad H \sim \text{Uniform}\{0, \ldots, 2^{256} - 1\}$$

- One try succeeds with probability $p = T/2^{256}$; tries until success are geometric:

$$\mathrm{E}[\text{tries}] = \frac{1}{p} = \frac{2^{256}}{T} = D \cdot 2^{32}, \qquad D = \frac{T_{\max}}{T}, \; T_{\max} \approx 2^{224}$$

  - D: the **difficulty**, published in every block

- One block every 600 seconds on average, hence the network **hash rate**

$$\hat{H} = \frac{D \cdot 2^{32}}{600} \text{ hashes per second}$$

  - 8 October 2025: $D = 1.508 \times 10^{14}$, so $\hat{H} = 1.508 \times 10^{14} \times 4.295 \times 10^{9}/600 = 1.08 \times 10^{21} = 1\,080$ EH/s (exahashes per second)
  - every 2 016 blocks: $D_{\text{new}} = D_{\text{old}} \times 20\,160$ min/actual minutes

The Supply Rule

- Block subsidy at block height h: $s(h) = 50 \cdot 2^{-\lfloor h/210\,000 \rfloor}$ BTC
  - halved every 210 000 blocks, about four years: 50, 25, 12.5, 6.25, 3.125 (April 2024)
- Total supply, a geometric series:

$$S_\infty = 210\,000 \sum_{k=0}^{\infty} 50 \cdot 2^{-k} = 210\,000 \times 50 \times 2 = 21 \text{ million BTC}$$

- Annual **inflation rate** of supply after the 2024 halving:

$$\pi = \frac{3.125 \times 144 \times 365}{S_t} = \frac{164\,250}{20.09 \times 10^6} = 0.82\%$$

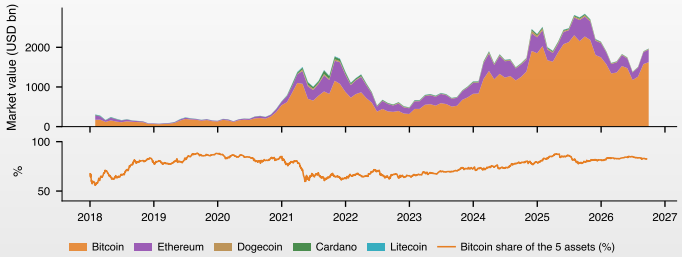
  - 144 blocks a day; $S_t = 20.09$ million BTC on 18 September 2026; below the 2% inflation target of central banks
- The supply path is known in advance: it cannot explain price *surprises*

What Is On-Chain, and What Is Not

On-chain (public, complete)	Off-chain (private or partial)
every transfer: sender address, receiver address, amount, time	who owns an address: names are not recorded
fees paid, block size, block time	trades inside an exchange (one internal ledger)
supply of each coin and token	reserves backing a stablecoin
smart-contract calls: deposits, loans, swaps	prices on exchanges (each venue has its own)
mining or staking power (hash rate, stake)	the business purpose of a transaction

- Addresses are **pseudonymous**: a string of characters, not a person; analytics firms cluster addresses into entities
- Most trading happens off-chain, on centralised exchanges: on-chain data show settlement, not all trading

Five Coins, One Dominant Asset



- **Market value** of coin i: $M_{i,t} = P_{i,t} \times Q_{i,t}$, the price in USD times the coins in circulation
  - the five coins: 1 970 billion USD on 18 September 2026; peak 3 135 billion on 6 October 2025
  - Bitcoin: 1.63 trillion USD, a share of 82.5% (between 55.8% and 88.5% since 2018)
- The value moves with prices; supply changes slowly

MFM_ch16_market_value

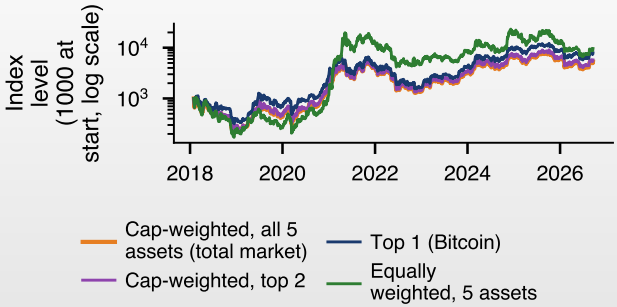
How Concentrated Is the Market?

- **Herfindahl–Hirschman index** (HHI), the measure competition authorities use for market concentration

$$\mathrm{HHI} = \sum_{i=1}^{N} w_i^2, \qquad w_i = \frac{M_i}{\sum_j M_j}$$

  - w_i: the value share of coin i; N: the number of coins
  - from $1/N$ (equal shares) to 1 (one coin holds everything)
  - $1/\mathrm{HHI}$: the **effective number** of coins
- **Worked example**: shares 82.5%, 15% and 2.5%
  - $\mathrm{HHI} = 0.825^2 + 0.15^2 + 0.025^2 = 0.681 + 0.023 + 0.001 = 0.70$
  - effective number $1/0.70 = 1.4$: the market behaves like 1.4 equal coins
- Five largest coins on 18 September 2026: $\mathrm{HHI} = 0.71$, effective number 1.42

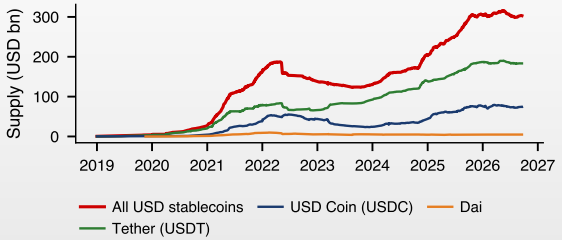
A Market Index: CRIX



- **CRIX** (CRypto IndeX) Trimborn & Härdle (2018): a value-weighted index of the largest coins
  - the number of coins is chosen by a statistical rule, not fixed in advance
- Since 2018: 21.4% a year over 8.6 years, volatility 65.7%
- **Survivorship bias**: an index of today's coins ignores the coins that died
  - past returns look better than an investor could have earned

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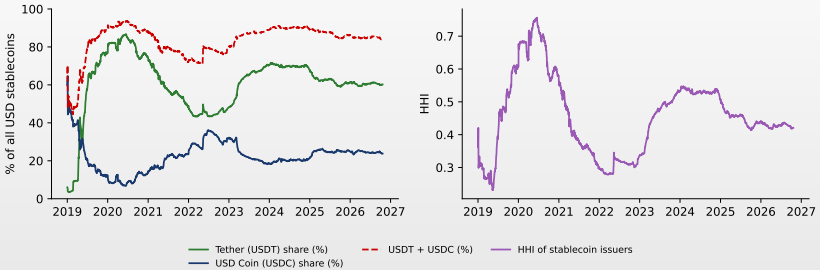
The Rise of Stablecoins



- **Stablecoin**: a token designed to keep a fixed price, usually 1 USD (Lectures 4 and 5)
- Supply (DefiLlama): 4.2 billion USD in January 2020, 303 billion on 18 September 2026, about 73 times more
  - Tether (USDT) 183 billion (61%), USD Coin (USDC) 74 billion (24%): two issuers hold 85%
  - 2022–2023 dip: from 187 to 123 billion, after TerraUSD collapsed and USDC lost its peg

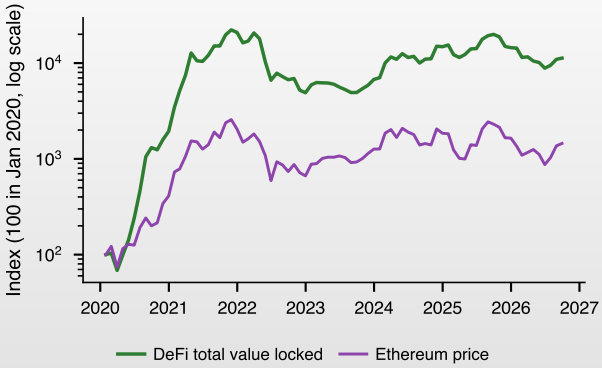
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Who Issues the Stablecoins?



- Shares of all USD stablecoins (DefiLlama, daily, 2019–2026) and the HHI of issuers
- Tether: 76.8% (January 2020), 44.0% (April 2022), 67.5% (August 2023), 60.5% (September 2026); USD Coin: 12.4%, 27.9%, 20.7%, 24.4%
- HHI 0.607, 0.282, 0.500, 0.427: concentration fell during the 2021–2022 boom and rose again after the USDC depeg of March 2023 (Lecture 4)

DeFi: Total Value Locked



- **Total value locked** (TVL): the value of tokens deposited in DeFi protocols (DefiLlama)
- 0.6 billion USD in January 2020, 177 billion at the peak (9 November 2021), 88 billion today
- **Caution**: TVL mixes deposits with token prices (Appendix)

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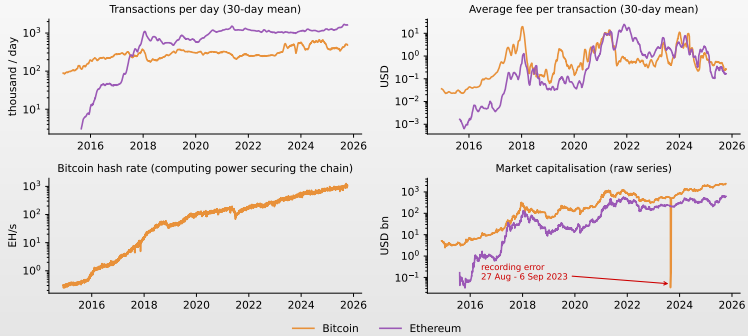
January 2024: Bitcoin Enters the Stock Exchange



- **Spot ETF**: an exchange-traded fund that holds the coins themselves SEC (2024)
  - 10 January 2024: 11 spot Bitcoin ETFs approved in the US
- Chart: Bitcoin and the ETF IBIT, both 100 on 11 January 2024; the two lines overlap
- An off-chain application of an on-chain asset: pension funds can now hold Bitcoin through a regulated security

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Four Views of a Blockchain

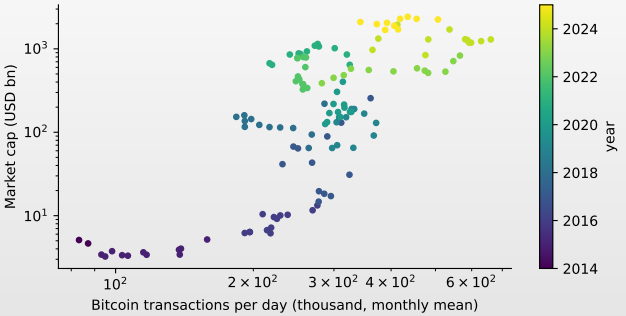


- Daily series, November 2014 – 8 October 2025, log scales; data: ETH Chronicles project (IDA)

Reading the Four Panels

- **Usage**: Bitcoin 93 112 transactions a day in January 2015, 488 729 in September–October 2025 (30-day mean)
  - Ethereum: 1.63 million a day, 3.3 times Bitcoin; its smart contracts make many small transactions
- **Fees**: the price of using the network
  - peaks in congestion: 19.81 USD (Bitcoin, January 2018), 24.79 USD (Ethereum, November 2021)
  - October 2025: 0.28 and 0.17 USD; Ethereum is cheaper because of layer-2 networks
- **Security**: the Bitcoin hash rate rose from 0.30 to 1 079 EH/s (exahashes per second), about 3 600 times
  - the cost of attacking the network grew with it
- **Value**: Bitcoin 2 442 billion USD, Ethereum 620 billion on 8 October 2025

Does Value Follow Activity?



- Monthly means, 132 months; both axes on log scales
- Correlation of the logs: 0.76
- Slope of the log-log line: 3.6
  - 1% more transactions goes with about 3.6% more market value
- Network-value theories (Metcalfe's law) predict a slope of 2
- But the cloud is wide: in 2021–2025 value moved without more activity
- Lecture 2 tests this properly

Where the Data Come From

Source	What it measures	Use in this course
Etherscan, mempool.space	block explorers: single transactions, addresses, contracts	check one transaction or one wallet
CoinGecko, EODHD, Yahoo Finance	prices, volumes and market value aggregated over exchanges	returns, volatility, correlations (L2, L3)
DefiLlama	stablecoin supply, DeFi TVL, fees by protocol	stablecoins (L4, L5), DeFi
Dune	Structured Query Language (SQL) queries on decoded blockchain tables	custom on-chain metrics
Cambridge Bitcoin Electricity Consumption Index (CBECI)	electricity use of Bitcoin mining	sustainability (L7)

- All are free for the series we use; a notebook downloads them in Google Colab

A Data-Quality Check: Four Real Problems

- We checked the on-chain files used today before drawing a single chart; four problems turned up

Problem	How it was found	Fix
Bitcoin market value about 1 000 times too small, 27 August – 6 September 2023 (11 days)	a log-scale chart (panel 4, red arrow)	set to missing
"transaction value" file identical to the "transaction fee" file	compare the two files cell by cell	do not use; download again
social-media series stops on 14 March 2023	last non-missing date	shorter sample
XRP transactions: 32% missing since 2020, last value November 2023	share of missing values	drop the coin

- None of these would stop a program from running; each would bias a result

A Checklist Before Any Analysis

1. **Calendar**: one row per day? duplicate dates? gaps? (our files: 3 968 days, no gaps)
2. **Coverage**: first and last valid date of every series
3. **Missing values**: the share per series and per year
4. **Units**: USD or coins? billions or units? per day or cumulative?
5. **Outliers**: plot every series on a log scale; jumps of 100 times are errors, not news
6. **Duplicates**: two series that are identical, or a series copied into the wrong column
7. **Source and definition**: which exchanges, which close time, which address set

- Ten minutes with this list saves a wrong conclusion

Why Log Scales?

- Crypto series grow by factors of 100 or 1 000: on a linear axis the early years are a flat line
- On a **log scale**, equal distances mean equal **ratios**
  - 1 to 10 and 100 to 1 000 have the same height: both are a 10-fold rise
  - a straight line means a constant growth rate
- **Log return** between two dates: $r = \ln(X_{\text{end}}/X_{\text{start}})$
  - log returns add up over time: the return of a year is the sum of its daily log returns
  - for small changes, $r \approx$ the percentage change
- Rule: plot levels on a log scale, analyse log returns (Lecture 2)

Growth as a Regression: the Log-Linear Trend

- A CAGR uses only two dates; a trend regression uses all of them:

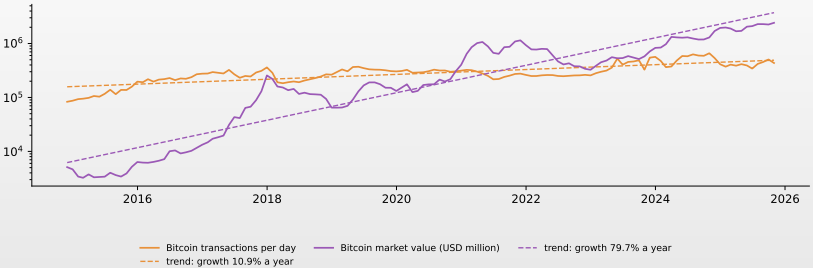
$$\ln X_t = a + g\,t + u_t, \qquad t \text{ in years}$$

  - g: the continuous growth rate; annual growth $e^{g} - 1$; Newey–West standard errors, 12 lags

Bitcoin, monthly, 2014–2025	$\hat{g}$	SE	R^2	$e^{\hat{g}} - 1$
transactions per day	0.104	0.021	0.62	10.9%
market value	0.586	0.055	0.88	79.7%

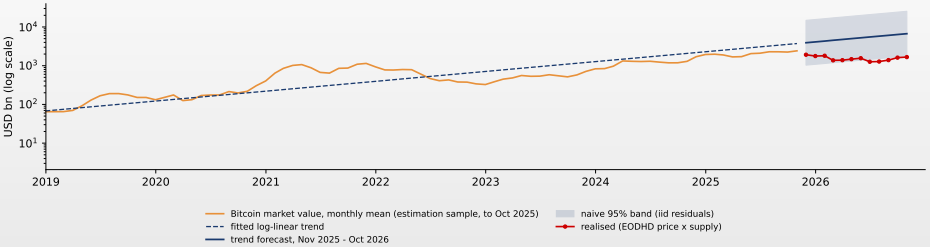
- Difference of the two growth rates: 0.48; ignoring their covariance, $z \approx 0.48/\sqrt{0.021^2 + 0.055^2} = 8.2$
- The endpoint CAGRs (17.2% and 83.8%) depend on the two dates chosen; the trend estimates do not

Trend Lines on a Log Scale



- Monthly means and fitted log-linear trends: transactions grow 10.9% a year, market value 79.7% a year
- On a log scale a constant growth rate is a straight line; the market value moves around its trend in long waves (2017–2018, 2021–2022)

Out of Sample: the Trend One Year Later



Bitcoin market value, USD bn	Nov 2025	Feb 2026	Jun 2026	Sep 2026	Oct 2026
trend forecast (79.7% a year)	3 918	4 537	5 516	6 387	6 706
realised (EODHD price × supply)	1 920	1 376	1 263	1 617	1 670
realised / forecast	0.49	0.30	0.23	0.25	0.25

- One year on, the market value is a quarter of the trend; it ends just below the naive 95% band
- Residuals are almost a random walk (first-order autoregressive (AR(1)) coefficient 0.97): the independent and identically distributed (iid) band is far too narrow beyond a few months; a trend fits the past, it does not forecast a price

Summary

- A blockchain is a public, tamper-evident database; its security can be measured: $\hat{H} = D \cdot 2^{32}/600 \approx 1\,080$ EH/s for Bitcoin in October 2025
- Supply follows a known geometric rule: 21 million BTC, issuance inflation 0.82% a year after 2024
- The market is concentrated: $\mathrm{HHI} = 0.71$ for the five largest coins; two issuers hold 85% of stablecoins
- Log-linear trends: Bitcoin usage grows 10.9% a year, market value 79.7% a year; the gap is significant ($z \approx 8$)
- Data must be checked before use: several prices for one asset, gaps, and jumps of 100 times that are errors, not news

Interpretation Exercises

1. The five largest coins have $\mathrm{HHI} = 0.71$. A colleague says the crypto market is well diversified because thousands of coins exist. Comment, using the effective number of coins.
2. Trend regressions: $\hat{g} = 0.104$ for transactions, 0.586 for market value, $z \approx 8$ for the difference. What does the test tell you? Does it prove a bubble?
3. The Bitcoin hash rate grew about 3 600 times since 2014. What does this say about the cost of an attack, and what does it not say about the value of the network?
4. The 79.7% trend predicted 6 706 bn USD for October 2026; the realised value is 1 670 bn. The residual AR(1) coefficient is 0.97. Why was the forecast so far off, and why is the naive band misleading?

Watch Blockchain Mechanism and Distributional Characteristics of Cryptos

Appendix: Further Material

Optional material for self-study. It is **not examined**.

- Worked Example: a Miner with 1% of the Hash Rate
- Checking the Hash-Rate Formula on the Data
- Checking the Rule a Year Later
- Building a Market-Value Index
- Worked Example: the Divisor at a Rebalancing
- How Much of TVL Is Just the Ether Price?
- Worked Example: TVL Without New Deposits
- A Robust Outlier Rule
- The Outlier Rule on the Data
- From a White Paper to a Market
- The Supply Schedule
- Coins, Tokens and Smart Contracts
- Concentration Through Time
- Where the Value Is Locked
- There Is No Single Price
- Worked Example: the Growth Rate of Bitcoin Usage

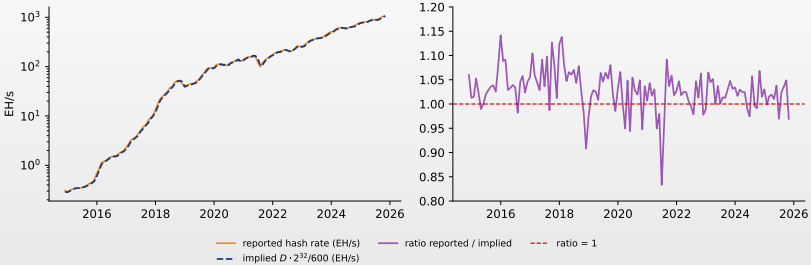
Worked Example: a Miner with 1% of the Hash Rate

- Each block is won by the miner with probability equal to its share of the hash rate, independently of the past
- Blocks won in a day by a miner with share $s = 1\%$: approximately Poisson with mean $\lambda = 144\, s = 1.44$

$$P(N = k) = e^{-\lambda}\frac{\lambda^k}{k!}, \qquad P(N = 0) = e^{-1.44} = 0.237, \qquad P(N \geq 3) = 0.176$$

- Business reading
  - on almost one day in four, a miner with 1% of the network earns nothing, although its costs (electricity) are fixed
  - revenue variance is the reason for **mining pools**: miners share hash rate and receive a smoothed payout
- The same model explains why exchanges wait for several **confirmations**: the chance that an attacker with share $q < 0.5$ catches up falls geometrically with the number of blocks

Checking the Hash-Rate Formula on the Data



- Monthly means, November 2014 – October 2025: reported hash rate against $D \cdot 2^{32}/600$ from the published difficulty
- Ratio reported/implied: mean 1.029, standard deviation 0.042, range 0.83–1.14
- The reported series is itself an estimate from block times: the 3% gap reflects blocks arriving slightly faster than every 600 seconds

Checking the Rule a Year Later

- The chart assumes exactly 144 blocks a day. Prediction for 24 October 2026: 19 992 600 BTC
- Realised (EODHD, 24 October 2026): 20 102 728 BTC, i.e. 110 128 BTC (0.55%) more
- Implied block height, from the fourth epoch (subsidy 3.125 BTC since height 840 000):

$$h = 840\,000 + \frac{20\,102\,728 - 19\,687\,500}{3.125} = 972\,873$$

- Realised rate since genesis: 972 873/6 503 days = 149.6 blocks a day, 3.9% faster than the target
  - The difficulty adjusts only every 2 016 blocks; while the hash rate grows, blocks come early
- Next halving at height 1 050 000: at 144 blocks a day about 11 April 2028
- Lesson: the *rule* is exact in blocks, not in calendar time; the time path is a forecast with a small, one-sided error

Building a Market-Value Index

- Value-weighted index of k coins with a **divisor** D_t:

$$I_t = \frac{\sum_{i=1}^{k} P_{i,t}\, Q_{i,t}}{D_t}$$

- At a rebalancing date t^* the constituents change; the divisor keeps the index continuous:

$$D_{t^*}^{\text{new}} = D_{t^*}^{\text{old}} \cdot \frac{\sum_{i \in \text{new}} P_{i,t^*}\, Q_{i,t^*}}{\sum_{i \in \text{old}} P_{i,t^*}\, Q_{i,t^*}}$$

- How many coins? Trimborn & Härdle (2018) choose k by an Akaike information criterion (AIC)-type rule (stylised form)

$$\hat{k} = \arg\min_{k} \ \mathrm{AIC}(k) = n \ln \hat{\sigma}_k^2 + 2k$$

  - $\hat{\sigma}_k^2$: the variance of the difference between the k-coin index return and the total-market return
  - more coins track better but cost more to replicate; AIC balances the two

Worked Example: the Divisor at a Rebalancing

- Day t^*, before rebalancing: coins A and B, market values 800 and 200 (USD bn); divisor $D = 1$, index $I = 1\,000$
- Coin C (market value 100) enters the index at t^*

$$D^{\text{new}} = 1 \times \frac{800 + 200 + 100}{800 + 200} = 1.1, \qquad I_{t^*} = \frac{1\,100}{1.1} = 1\,000$$

  - the index does not jump: a change of constituents is not a return
- Next day: A 820, B 190, C 110, total 1 120

$$I_{t^*+1} = \frac{1\,120}{1.1} = 1\,018.2, \qquad \text{return } +1.82\%$$

- Without the divisor update the index would have shown a false $+10\%$ on the rebalancing day

How Much of TVL Is Just the Ether Price?

- Monthly regression of log changes, Newey–West standard errors (SE):

$$\Delta \ln \mathrm{TVL}_t = a + b\,\Delta \ln P_t^{\mathrm{ETH}} + u_t$$

  - b: the elasticity of TVL to the Ether price
- Estimates, 80 months: $\hat{b} = 0.79$ (SE 0.07), $R^2 = 0.62$
  - $t = 0.79/0.07 = 11.3$: highly significant
  - 62% of the monthly variation in TVL is explained by the Ether price alone
- Decomposition: $\mathrm{TVL}_t = \sum_j P_{j,t}\, N_{j,t}$, prices times token quantities deposited
  - activity is better measured with fixed-price quantities $\sum_j \bar{P}_j N_{j,t}$, net flows or fees

MFM_ch16_defi

Worked Example: TVL Without New Deposits

- A lending protocol holds 100 million USD: 60% in Ether, 40% in stablecoins
- Ether rises by 50%; nobody deposits or withdraws

$$\mathrm{TVL}_{t+1} = 60 \times 1.5 + 40 = 130 \text{ million USD}, \qquad +30\%$$

- The elasticity of this protocol's TVL to the Ether price is 0.6: the Ether share of its deposits
- Fixed-price TVL $\sum_j \bar{P}_j N_{j,t}$ stays at 100: activity did not change
- Market-wide: $\hat{b} = 0.79$ means that, on average, about 80% of DeFi deposits move one-for-one with Ether

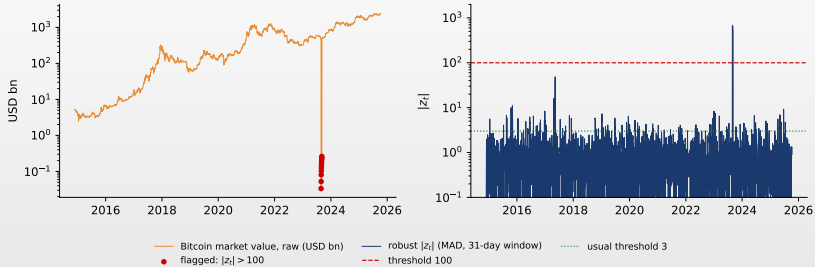
A Robust Outlier Rule

- Mean and standard deviation are themselves distorted by outliers; use the median and the **median absolute deviation** (MAD)

$$z_t = \frac{x_t - \mathrm{med}_t}{1.4826\,\mathrm{MAD}_t}, \qquad \mathrm{MAD}_t = \mathrm{med}\,\left|x_s - \mathrm{med}_t\right|$$

  - x_t: the log market value; med_t, MAD_t: median and median absolute deviation on a centred 31-day window
  - 1.4826: makes $1.4826\,\mathrm{MAD}$ equal to σ for Normal data
- Bitcoin market value, 2014–2025
  - the 11 days of 27 August – 6 September 2023 have $|z_t|$ between 539 and 689
  - the largest genuine move has $|z_t| = 48.6$: a threshold of 100 flags exactly the 11 bad days
  - 10 further days have $\mathrm{MAD}_t = 0$: the series did not change for weeks, another sign of stale data
- A rule written down before looking at the data is better than deleting points by eye

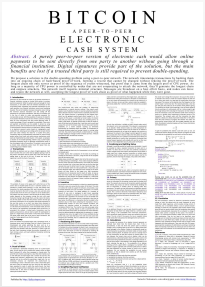
The Outlier Rule on the Data



- Left: raw Bitcoin market value with the flagged days; right: robust $|z_t|$ on a log scale
- The usual threshold $|z_t| > 3$ flags 208 of 3 958 days: heavy tails make genuine moves look extreme
- Threshold 100 flags exactly the 11 bad days; the largest genuine move has $|z_t| = 48.6$

From a White Paper to a Market

- 31 October 2008: Nakamoto (2008) proposes "a peer-to-peer electronic cash system"
  - **peer-to-peer**: users pay each other directly, without a bank in the middle
  - the problem solved: **double spending**, i.e. paying twice with the same digital coin
- 3 January 2009: the first block; 2010: the first trades on exchanges
- 2015: Ethereum adds **smart contracts**, programs that run on the blockchain Buterin (2014)
- 2026: stablecoins, tokenised funds, DeFi and exchange-traded funds are all built on these two ideas



BITCOIN

A PEER-TO-PEER

ELECTRONIC

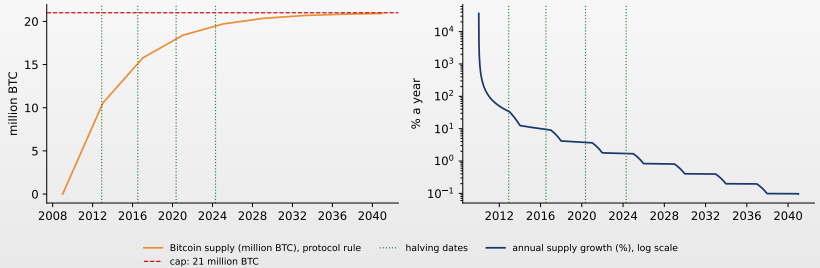
CASH SYSTEM

Abstract. *A purely peer-to-peer version of electronic cash would allow online payments to be sent directly from one party to another without going through a financial institution. Digital signatures provide part of the solution, but the main benefits are lost if a trusted third party is still required to prevent double-spending.*

The Bitcoin white paper, 2008

Text: Satoshi Nakamoto (2008); poster: DailyCoinPost (2018); CC0; Wikimedia Commons

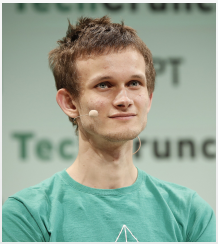
The Supply Schedule



- Protocol rule with exactly 144 blocks a day; dotted green: the four halvings (2012, 2016, 2020, 2024)
- Annual supply growth: 33.3% (2013), 9.0% (2017), 3.7% (2021), 1.7% (2025), 0.83% (2026), 0.4% (2032); 99% of the cap is reached in 2035
- The rule gives 19.98 million BTC on 18 September 2026; the actual 20.09 million is higher because blocks arrived slightly faster than every 10 minutes

Coins, Tokens and Smart Contracts

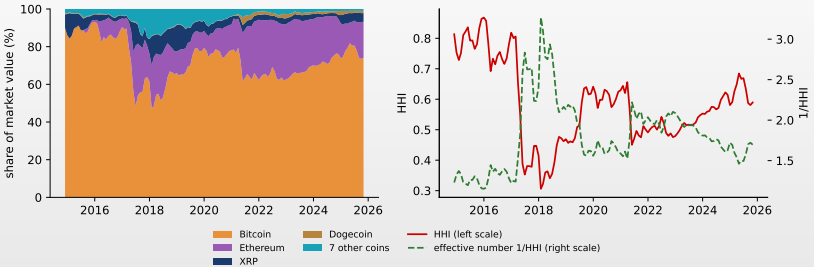
- **Coin**: the native asset of a blockchain (BTC on Bitcoin, ETH on Ethereum)
  - pays the fees; Bitcoin supply is capped at 21 million by the protocol
- **Token**: an asset issued by a smart contract on an existing chain
  - stablecoins (USDT, USDC), governance tokens, tokenised funds and bonds
- **DeFi** (decentralised finance): lending and trading run by smart contracts, without a bank or broker
- Each of these is an **application**; each leaves a data trail on the chain



Vitalik Buterin, co-founder of Ethereum, 2015

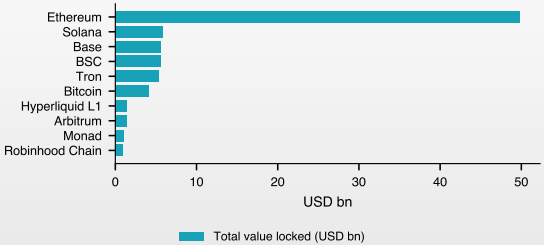
Photo: John Phillips (2015); CC BY 2.0; Wikimedia Commons

Concentration Through Time



- Monthly market-value shares of 11 coins (ETH Chronicles data, 2014–2025; the 11 bad days removed)
- HHI: 0.868 at its maximum (December 2015); 0.306 at its minimum (January 2018, Bitcoin share 47.1%, effective number 3.27)
- September 2025: HHI 0.581, Bitcoin share 73.5%, effective number 1.72: the market re-concentrated after each altcoin boom

Where the Value Is Locked



- TVL by blockchain, ten largest, 18 September 2026: Ethereum 49.8 billion USD, 57% of 88 billion
  - Base and Arbitrum are **layer-2** networks: cheaper transactions that settle on Ethereum
- Business reading: one platform dominates, but applications spread to cheaper chains

MFM_ch16_defi

There Is No Single Price

- Hundreds of exchanges, each with its own order book and price
  - a data provider averages them into one series; the choice of venues changes the series
- Makarov & Schoar (2020): 34 exchanges in 19 countries, 2017–2018
  - large and persistent price gaps between countries (Korea, Japan, US) when capital controls block arbitrage
  - much smaller gaps within a country
- The market never closes: 365 trading days a year
  - a "daily close" is a convention, usually midnight UTC (Coordinated Universal Time)
  - the S&P 500 closes at 16:00 New York time: daily returns of the two are not simultaneous

Worked Example: the Growth Rate of Bitcoin Usage

- **Compound annual growth rate** (CAGR) between two dates T years apart

$$g = \left(\frac{X_{\text{end}}}{X_{\text{start}}} \right)^{1/T} - 1$$

- Bitcoin transactions, monthly means: $X_{\text{start}} = 93\,112$ (January 2015), $X_{\text{end}} = 506\,379$ (September 2025), $T = 10.67$ years
  - ratio $= 5.44$; $\ln 5.44 = 1.694$; $1.694/10.67 = 0.159$; $g = e^{0.159} - 1 = 17.2\%$ a year
- Bitcoin market value, same months: 3.4 and 2 251 billion USD
  - ratio $= 659$; $g = 659^{1/10.67} - 1 = 83.8\%$ a year: value grew much faster than usage
- Question for the seminar: what else could explain the gap?